Letter to Limited Partners

Dear Limited Partners,

We are pleased to present the quarterly report for Halyard Growth Partners III, L.P. (the "Fund") for the quarter ended June 30, 2026. The second quarter was the Fund's most active period of realizations since inception, and the portfolio continued to deliver operating growth ahead of our underwriting cases.

In May, the Fund completed the sale of Brightline Dental Partners to a strategic acquirer, generating gross proceeds of $64.2 million and a 3.1x gross multiple on invested capital. Proceeds were distributed to limited partners in June, bringing cumulative distributions to $121.3 million.

Across the remaining eight active companies, last-twelve-month revenue grew 21% and EBITDA grew 26% on a weighted basis. Northwind Logistics remains the Fund's largest position and is discussed further in the portfolio highlights section of this report.

We called $18.4 million of capital during the quarter to fund two follow-on investments. As of quarter end, the Fund has called 79.4% of commitments and retains sufficient reserves for planned follow-on activity.

As always, we welcome your questions and look forward to seeing many of you at our annual meeting in October.

Sincerely,

Margaret Okafor
Managing Partner, Halyard Capital Management

Fund Performance Summary

Metric	Value
Vintage year	**2021**
Total commitments	**250.0**
Capital called	**198.6**
% of commitments called	**79.4%**
Cumulative distributions	**121.3**
Net asset value	**212.4**
Total value (distributions + NAV)	**333.7**
DPI	**0.61x**
TVPI (net)	**1.68x**
Net IRR	**17.9%**
Gross IRR	**24.6%**

Net figures are after management fees, fund expenses and carried interest. Gross IRR is calculated on investment-level cash flows before fees and expenses. Net asset value reflects the fair value of the Fund's investments plus net other assets and is reported on a quarter-lag-free basis.

Schedule of Investments

Portfolio company	Sector	Initial investment	Cost	Fair value	Gross MOIC	% of NAV
Northwind Logistics, Inc.	Transportation	Mar 2021	14.2	38.9	2.7x	18.3%
Cobalt Health Systems	Healthcare IT	Jul 2021	22.5	34.1	1.5x	16.1%
Juniper Analytics	Software	Nov 2021	18.0	29.6	1.6x	13.9%
Tessera Payments	Fintech	Feb 2022	20.4	27.2	1.3x	12.8%
Arbor Clinical Labs	Healthcare services	Jun 2022	15.8	22.4	1.4x	10.5%
Keystone Fleet Services	Industrials	Oct 2022	17.1	19.8	1.2x	9.3%
Lumen Education Group	Education	Mar 2023	16.3	16.9	1.0x	8.0%
Pinecrest Software	Software	Sep 2023	12.6	12.6	1.0x	5.9%
Brightline Dental Partners	Healthcare services	Apr 2021	20.7	Realized	3.1x	-
Total portfolio			**157.6**	**201.5**		**94.9%**
Net other assets				10.9		5.1%
Net asset value				**212.4**		**100.0%**

Brightline Dental Partners was realized in May 2026; gross MOIC reflects total realized proceeds over cost.

Portfolio Highlights

Northwind Logistics, Inc.

Northwind operates a network of 41 cross-dock facilities serving mid-market shippers across the Midwest and Southeast. Revenue grew 34% year over year, driven by two new enterprise contracts and improved facility utilization.

At quarter end, Northwind was valued at $38.9 million, representing 18.3% of the Fund's net asset value and a 2.7x gross multiple on cost. The valuation reflects a 13.5x multiple of LTM EBITDA, a discount to recent comparable transactions.

Cobalt Health Systems

Cobalt completed the integration of its 2025 add-on acquisition and launched its ambulatory scheduling module with eleven health-system customers. Fair value increased 6% in the quarter.

Valuation policy

Portfolio investments are valued quarterly by the General Partner in accordance with the International Private Equity and Venture Capital Valuation Guidelines and ASC 820. Valuations are reviewed by the Fund's valuation committee and are subject to annual audit by an independent accounting firm.